WORKING CAPITAL MANAGEMENT PRACTICES

Taufika Foods and Lovello Ice-Cream PLC

Managerial Finance (FIN 3123) | Section A

School of Business and Economics, United International University

Academic Year 2026

Company Overview

Company Profile

Taufika Foods and Lovello Ice-Cream PLC is a leading ice cream manufacturer in Bangladesh, operating in the FMCG sector with a diverse product portfolio.

Revenue grew from **BDT 850.8M** (FY2020-21) to **BDT 1,151.3M** (FY2024-25), reflecting **35.3% growth** over 5 years.

Industry Overview

The ice cream industry in Bangladesh is characterized by **seasonal demand peaks** and intense competition from local and global brands.

Key success factors include distribution reach, cold chain infrastructure, and effective **working capital management**.

Importance of Working Capital Management

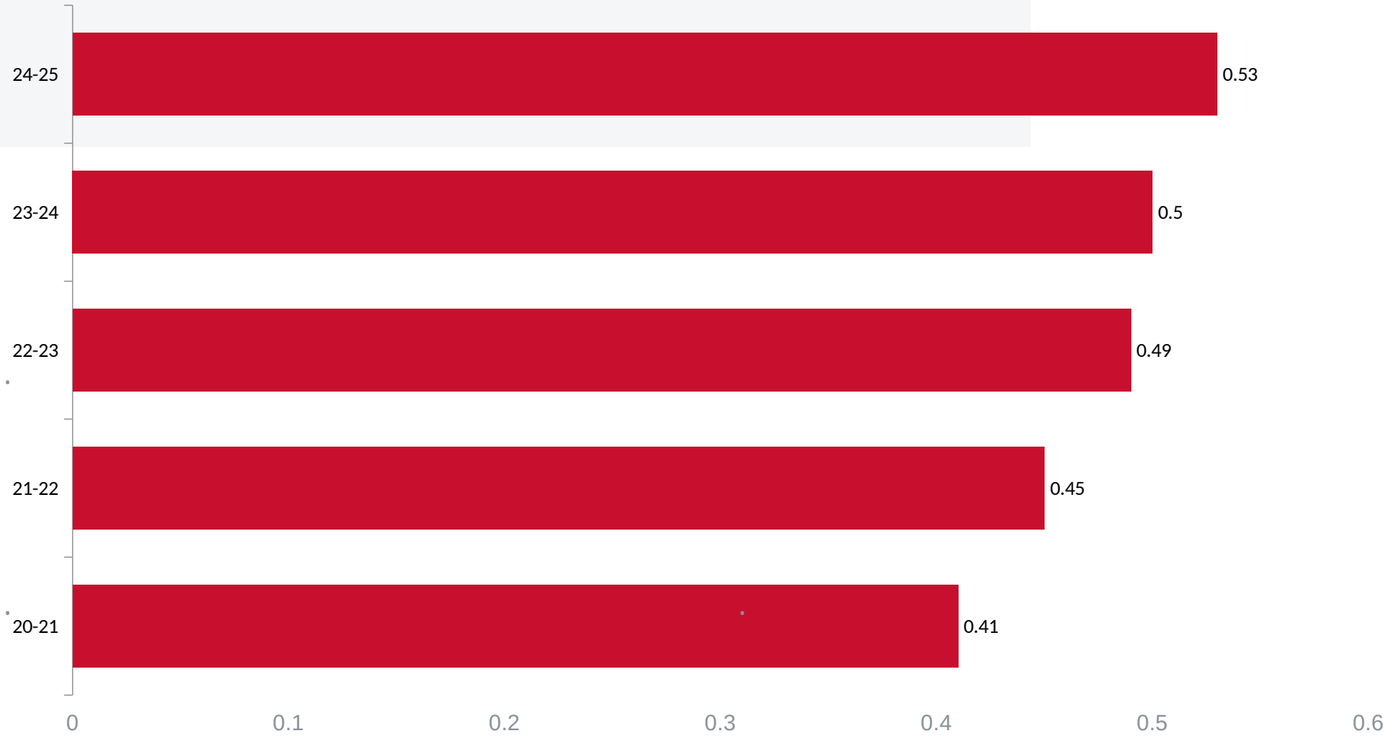
Effective WCM ensures operational continuity, liquidity, and profitability. For Lovello, with high inventory days and receivables, optimizing the cash conversion cycle is critical to reduce financing costs and sustain growth in a competitive market.

This study evaluates Lovello's WCM practices over FY2020-21 to FY2024-25 using ratio analysis, cycle measurement, and AFN estimation.

Working Capital Policies

Investment Policy

CA/TA ratio rose from **0.41** to **0.53**, indicating a **moderate-to-relaxed** investment policy. More resources allocated to current assets, strengthening liquidity but potentially reducing efficiency.



RELAXED INVEST + CONSERVATIVE FIN

Lovello's Position. High CA with long-term financing. Low risk, lower returns.

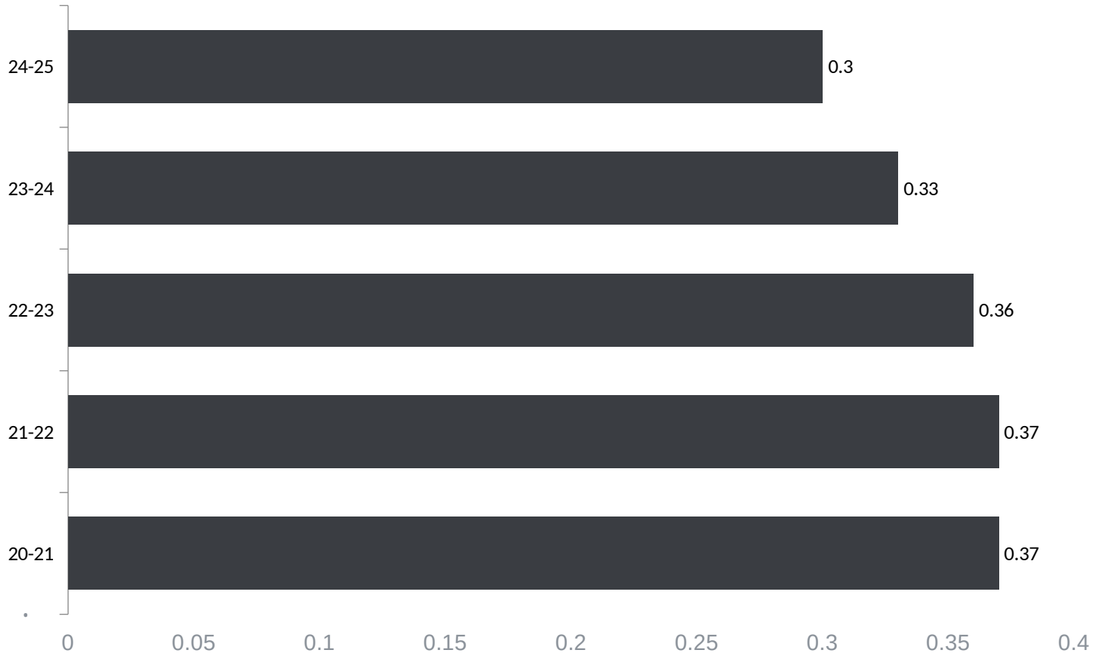
Key Findings

- Relaxed investment policy strengthens liquidity
- Conservative financing reduces refinancing risk
- Combined approach = low-risk, stability-focused
- Trade-off: lower efficiency for greater safety

Working Capital Policies

Financing Policy

CL/TL ratio declined from **0.37** to **0.30**, reflecting a **conservative financing** approach. Greater reliance on long-term financing reduces refinancing risk and enhances stability.



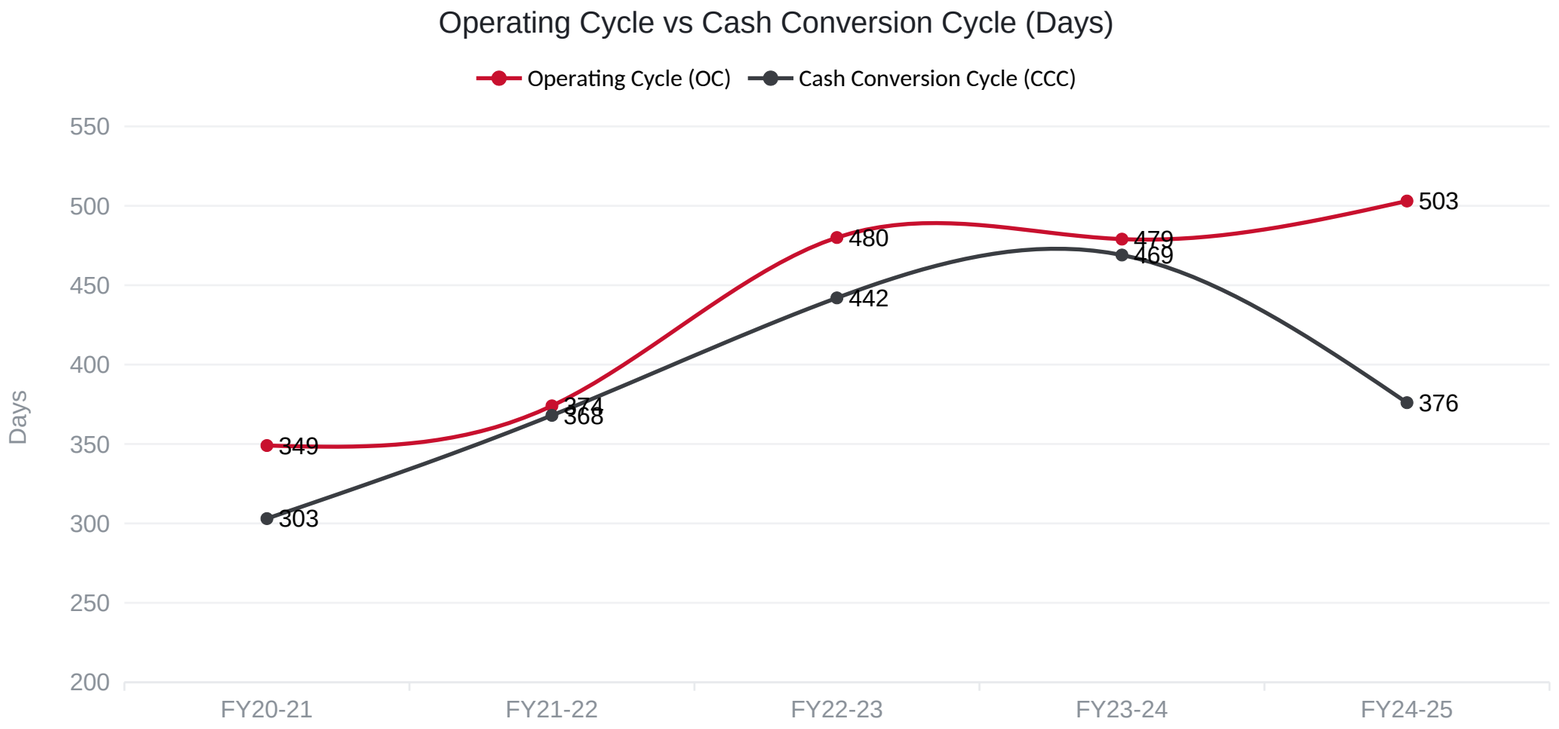
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Operating Cycle & Cash Conversion Cycle



Cycle Components (FY24-25)

DIO

319 days | Inventory holding period

DSO

184 days | Collection period

DPO

126 days | Payment deferral period

OC = DIO + DSO = 319 + 184 = **503 days**

CCC = OC - DPO = 503 - 126 = **377 days**

OC INCREASE (5Y)
+154 days

CCC RANGE (5Y)
303-469 d

Managerial Implication

The expanding Operating Cycle (+154 days over 5 years) indicates declining working capital efficiency. While the CCC improved in FY24-25 due to extended DPO (126 days), the core issues remain in **inventory management** and **receivable collection**. Management must prioritize reducing DIO and DSO to free up cash tied in operations and reduce external financing dependency.

Liquidity Analysis

CURRENT RATIO (FY24-25)

2.50

Benchmark: 2.0 | Strong

QUICK RATIO (FY24-25)

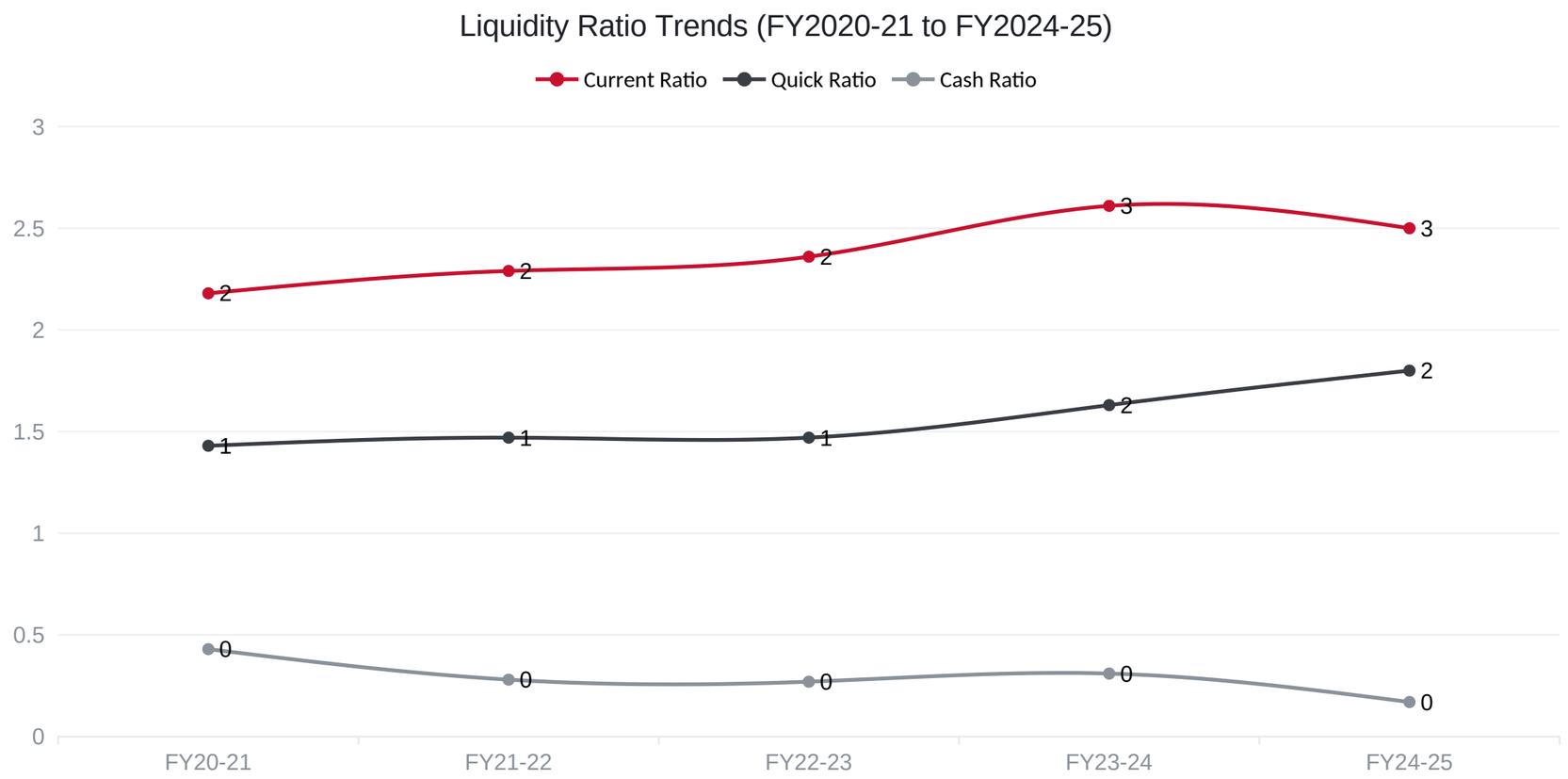
1.80

Benchmark: 1.0 | Healthy

CASH RATIO (FY24-25)

0.17

Declining trend | Watch



Key Insights

Current Ratio consistently above benchmark (2.0), indicating strong short-term solvency.

Quick Ratio improved from 1.43 to 1.80, showing reduced inventory dependency.

Cash Ratio declined from 0.43 to 0.17, signaling increased reliance on receivables for liquidity.

Working Capital Efficiency Analysis

DIO (Days Inventory Outstanding)

319 days (FY24-25)

Up from 221 days | +44% increase

DSO (Days Sales Outstanding)

184 days (FY24-25)

Up from 128 days | +44% increase

W.C. Turnover Ratio

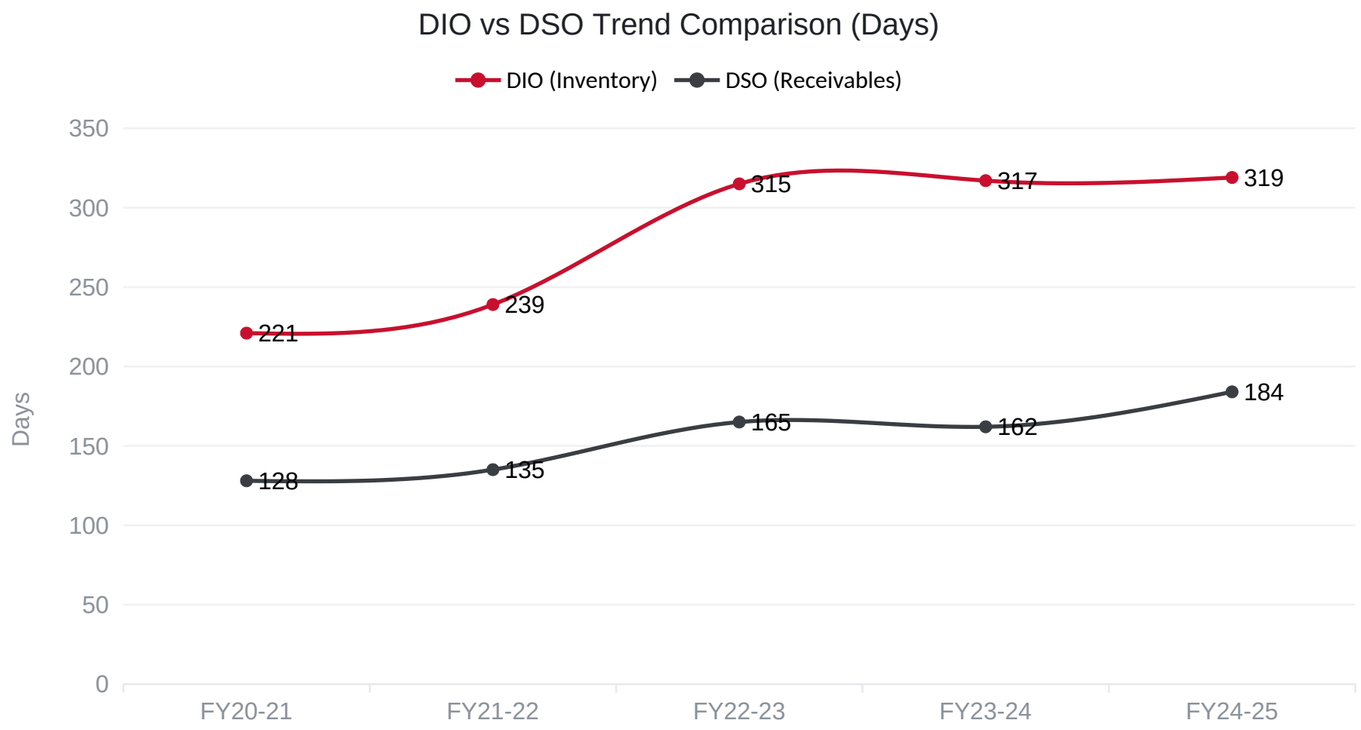
0.92 x (FY24-25)

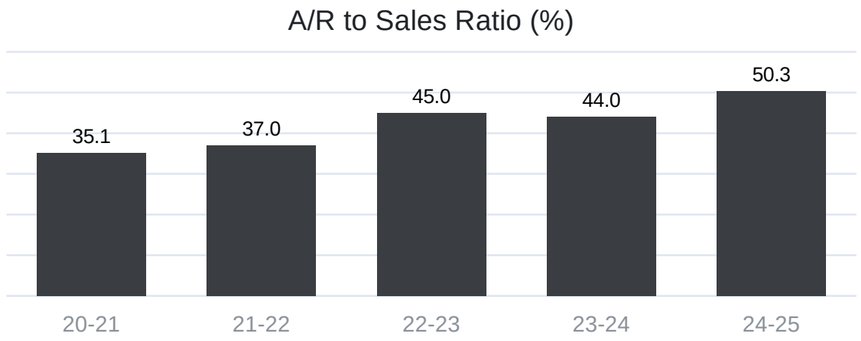
Down from 1.80x | -49% decline

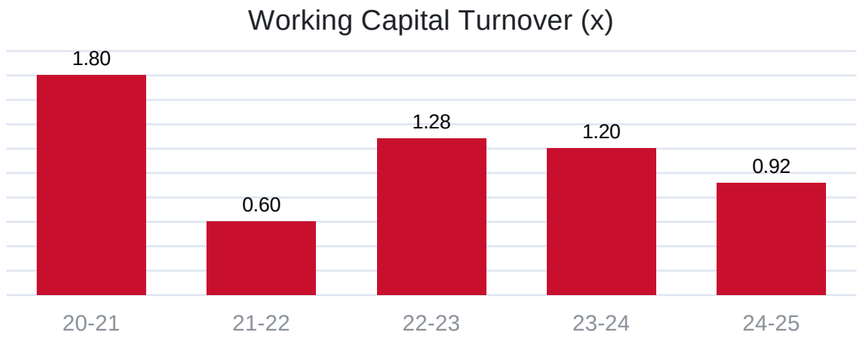
A/R to Sales Ratio

50.3% (FY24-25)

Up from 35.1% | +43% increase

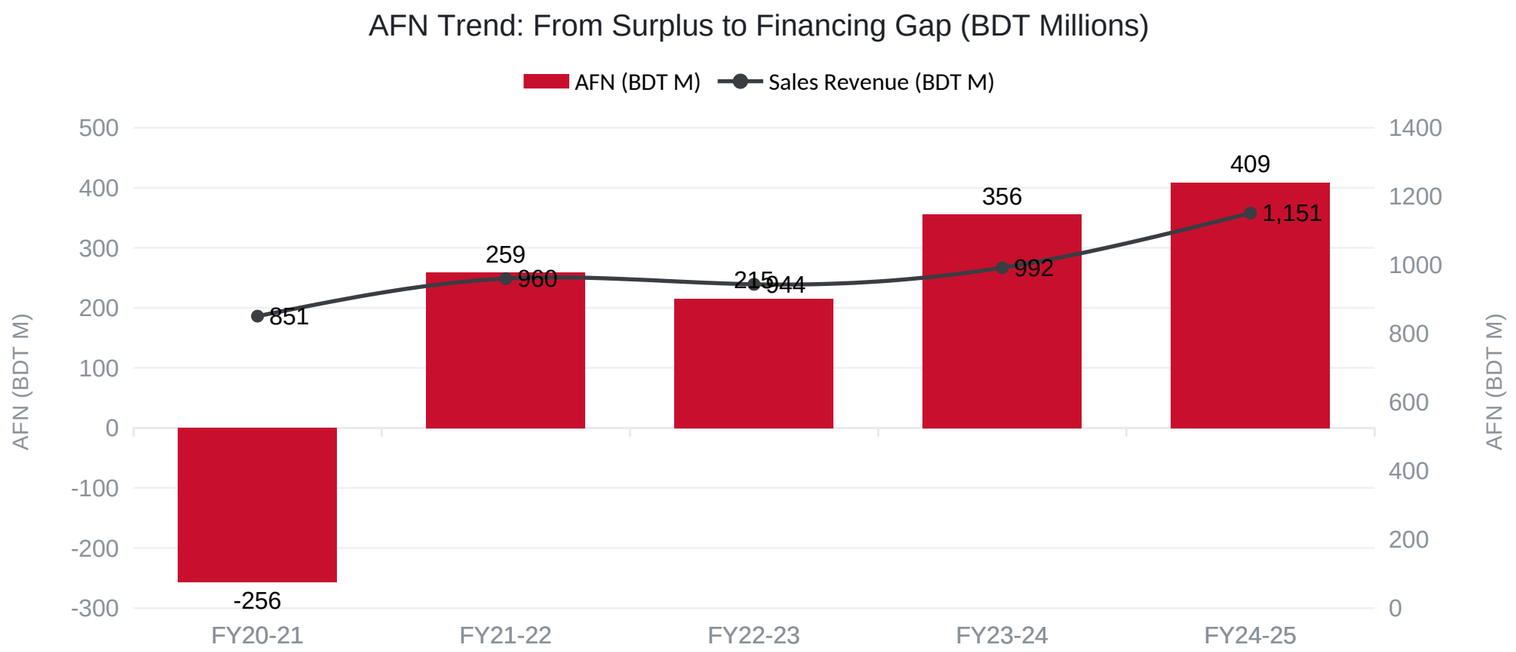






Additional Funds Needed (AFN) Estimation

AFN = $(A_0/S_0) \times \Delta S - (L_0/S_0) \times \Delta S - (PM \times S_1 \times b)$ | A_0=Total Assets | S_0=Sales | L_0=Spontaneous Liabilities | PM=Profit Margin | b=Retention Ratio



Key AFN Findings

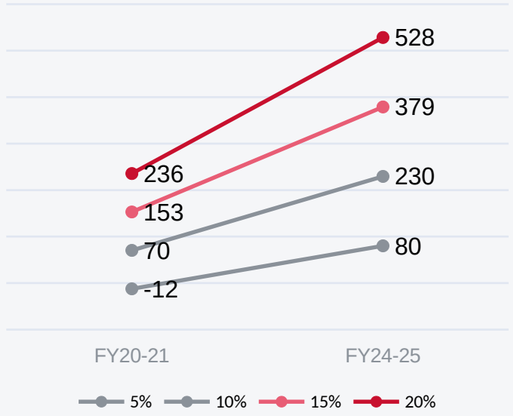
1. **FY20-21 Surplus:** Internal funds exceeded needs by BDT 256.4M
2. **Turning Point:** AFN turned positive from FY21-22 onwards
3. **Widening Gap:** Financing need grew steadily year-over-year
4. **Peak Need:** BDT 408.8M external financing required in FY24-25
5. **Growth Driver:** Asset expansion outpaced internal fund generation

Financing Implication

Lovello's growth strategy requires significant external capital. Without improvements in profitability, retention, or asset efficiency, dependence on debt or equity financing will continue rising. Strengthening internal funding capacity is critical to sustainable expansion.

AFN Sensitivity Analysis

Sales Growth Rate (5% - 20%)

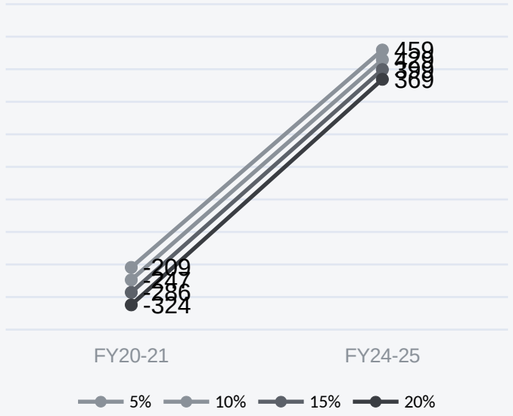


Key Insight:

Sales growth is the **most direct amplifier** of AFN. Each 1% increase in growth widens the financing gap proportionally.

At 20% growth, AFN reaches BDT 528M in FY24-25 vs BDT 379M at 15%.

Profit Margin (5% - 20%)



Key Insight:

Higher margin **reduces AFN** by enlarging retained earnings. Most controllable lever for management.

At 20% margin, AFN drops to BDT 369M vs BDT 459M at 5% margin in FY24-25.

Retention Ratio (5% - 20%)

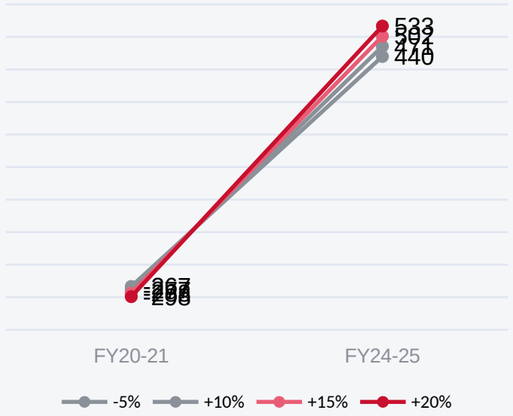


Key Insight:

Higher retention **compresses AFN** by boosting internal funds. Accessible via dividend policy adjustment.

At 20% retention, AFN is BDT 453.5M vs BDT 480.3M at 5% in FY24-25.

Capital Intensity (Asset Base)



Key Insight:

Capital intensity is the **structural multiplier**. Asset optimization is the single most impactful lever available.

A 20% asset increase drives AFN to BDT 533M vs BDT 440M at 5% decrease.

Major Findings

01

Relaxed Investment Policy

CA/TA ratio increased from **0.41 to 0.53** over 5 years, indicating a shift toward a more relaxed investment policy that prioritizes liquidity over asset efficiency.

02

Conservative Financing

CL/TL ratio declined from **0.37 to 0.30**, reflecting reduced dependence on short-term financing and a conservative approach that lowers refinancing risk.

03

Expanding Operating Cycle

Operating Cycle expanded from **349 to 503 days** (+154 days), indicating significant decline in working capital efficiency and longer cash recovery periods.

04

Declining Cash Ratio

Cash ratio fell from **0.43 to 0.17**, signaling increased reliance on receivables and inventory for liquidity, requiring closer cash management attention.

05

Sharply Positive AFN

AFN swung from a **BDT 256M surplus** to a **BDT 409M financing gap**, indicating that growth is consuming resources faster than internal generation.

06

Capital Intensity Impact

Sensitivity analysis reveals **capital intensity** as the most impactful lever. Asset optimization strategies can significantly reduce financing burden without altering growth targets.